Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The Consolidated Financial Statements and related information in the annual report are the responsibility of management. The Consolidated Financial Statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the Consolidated Financial Statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's Consolidated Financial Statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the Consolidated Financial Statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



RICHARD A. LAN
President and
Chief Executive Officer
February 20, 2007



MICHAEL H. VELS
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2007 and 2006 and the consolidated statements of earnings, comprehensive income, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2007 and 2006 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants,
Licensed Public Accountants
Toronto, Canada
February 20, 2008

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CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets

As at December 31, (In thousands of Canadian dollars)	2007	2006
ASSETS		
Current Assets:		
Cash and cash equivalents	$ 2,847	$ -
Accounts receivable (Note 3)	68,464	57,272
Inventories (Note 4)	47,036	46,081
Future tax asset – current (Note 16)	5,937	5,873
Prepaid expenses	4,798	3,576
Other current assets (Note 9)	80,586	-
	$ 209,668	$ 112,802
Property and equipment (Note 5)	396,623	374,647
Goodwill	371,066	372,980
Other long-term assets (Note 6)	7,955	58,115
Future tax asset – non-current (Note 16)	-	403
Other intangibles (Note 7)	12,870	5,321
	$ 998,182	$ 924,268
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current Liabilities:		
Bank indebtedness	$ 9,845	$ 10,260
Accounts payable and accrued charges	177,695	169,134
Due to Maple Leaf Foods Inc. (Note 18)	5,408	9,336
Dividends payable	1,525	1,525
Income and other taxes payable	15,078	23,336
Current portion of long-term debt (Note 8)	107,644	364
	$ 317,195	$ 213,955
Long-term debt (Note 8)	5	86,471
Future tax liability – non-current (Note 16)	33,522	29,611
Other long-term liabilities (Note 10)	12,417	5,787
Shareholders' equity (Note 11)	635,043	588,444
	$ 998,182	$ 924,268

Contingencies and commitments (Note 20)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



RICHARD A. LAN
Director



WILLIAM E. AZIZ
Director

Consolidated Statements of Earnings

Years ended December 31, (In thousands of Canadian dollars, except share amounts)	2007	2006
Sales	$ 1,513,179	$ 1,334,932
Earnings from operations before restructuring and other related costs	$ 129,454	$ 113,410
Restructuring and other related costs (Note 13)	(4,619)	(5,484)
Earnings from operations	124,835	107,926
Other income (Note 14)	581	432
Earnings before interest and income taxes	125,416	108,358
Interest expense (Note 15)	5,618	3,656
Earnings before income taxes	119,798	104,702
Income taxes (Note 16)	36,047	51,152
Net earnings	$ 83,751	$ 53,550
Earnings per share – basic (Note 21)	$ 3.30	$ 2.11
Earnings per share – diluted (Note 21)	$ 3.30	$ 2.11
Weighted average number of shares (millions)	25.4	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Retained Earnings

Years ended December 31, (In thousands of Canadian dollars)	2007	2006
Retained earnings, beginning of year	$ 450,733	$ 406,649
Net earnings	83,751	53,550
Dividends declared ($0.24 per share; 2006: $0.24 per share)	(6,100)	(6,100)
Inter-company acquisitions (Note 18)	(57)	(3,366)
Retained earnings, end of year	$ 528,327	$ 450,733

Consolidated Statements of Comprehensive Income

Years ended December 31, (In thousands of Canadian dollars)	2007	2006
Net earnings	$ 83,751	$ 53,550
Other comprehensive income (loss) (Note 12)		
Change in accumulated foreign currency translation adjustment	(29,290)	9,628
Change in unrealized derivative loss on cash flow hedges	(1,543)	-
	$ (30,833)	$ 9,628
Comprehensive income	$ 52,918	$ 63,178

See accompanying Notes to the Consolidated Financial Statements

financials

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows

Years ended December 31, (In thousands of Canadian dollars)	2007	2006
CASH PROVIDED BY (USED IN):		
Operating Activities		
Net earnings	**$ 83,751**	$ 53,550
Add (deduct) items not affecting cash:		
Depreciation and amortization	**49,612**	45,010
Future income taxes	**4,374**	14,028
Gain on sale of property and equipment	**(515)**	(330)
Other	**(1,369)**	(1,652)
Asset impairments and changes in restructuring and other related costs (Note 13)	**2,002**	3,527
Change in non-cash operating working capital	**(15,740)**	(7,791)
	122,115	106,342
Financing Activities		
Dividends paid	**(6,100)**	(6,100)
Increase in long-term debt	**20,831**	6,741
Decrease in long-term debt	**(67)**	(8,565)
	14,664	(7,924)
Investing Activities		
Additions to property and equipment	**(85,729)**	(47,998)
Proceeds from sale of property and equipment	**922**	1,744
Purchase of net assets of businesses, net of cash acquired (Note 19)	**(48,865)**	(73,841)
Change in intangible assets	**155**	35
	(133,517)	(120,060)
Increase (decrease) in cash and cash equivalents	**3,262**	(21,642)
Cash and cash equivalents (bank indebtedness), beginning of year	**(10,260)**	11,382
Cash and cash equivalents (bank indebtedness), end of year	**$ (6,998)**	$ (10,260)
Supplemental cash flow information:		
Net interest paid	**$ 5,668**	$ 3,811
Net income taxes paid	**38,668**	40,914

See accompanying notes to the Consolidated Financial Statements

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and in the United Kingdom. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2007.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company.

(a) Principles of consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for using the cost method or at fair value depending on whether such investments are publicly-traded.

(b) Use of estimates

The preparation of periodic financial statements necessarily involves the use of estimates. Estimates are used when accounting for items and matters such as allowances for uncollectible accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other provisions and contingencies. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(c) Translation of foreign currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Exchange gains or losses on translation of foreign subsidiaries are included in the Other Comprehensive Income, a component of shareholders' equity until realized.

(d) Revenue recognition

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as a reduction of revenue. Sales incentives include various rebate and promotional programs with the Company's customers. The rebates are primarily based on achievement of specified volume or growth in volume levels.

(e) Financial instruments

The Company's financial assets and financial liabilities are classified as held for trading, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments are measured at fair value with changes in fair value recognized in net earnings in the period in which they arise. Loans and receivables and other financial liabilities are measured at amortized cost.

(f) Hedge accounting

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

Effective January 1, 2007, in a cash flow hedge, the change in fair value of the hedging instrument is recorded in other comprehensive income, to the extent it is effective, until the hedged risk affects the consolidated statement of earnings. The Company uses cash flow hedges primarily to convert floating rate borrowings to fixed-rate borrowings.

Effective January 1, 2007, in a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statement of earnings by the change in fair value of the hedged item relating to the hedged risk.

Effective January 1, 2007, in a net investment hedge, the change in fair value of the hedging instrument, to the extent effective, is recorded directly in Other Comprehensive Income. These amounts are recognized in income when the corresponding cumulative translation adjustments from self-sustaining foreign operations are recognized in income.

Commencing January 1, 2007, hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statement of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or Other Comprehensive Income is recognized in earnings as the hedged item affects earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through earnings without any offset from the hedged item.

For all periods presented, changes in the fair value of derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheet, and subsequent changes in their fair value are recorded in the consolidated statement of earnings.

Prior to January 1, 2007, derivatives that met hedge accounting criteria were accounted for on an accrual basis. Income and expenses on derivative instruments designated and qualifying as hedges were recognized in the consolidated statement of earnings in the same period as the related hedged item. When a hedging relationship was discontinued, the associated derivative instrument was subsequently carried at fair value and any previously deferred income or expenses were carried forward for recognition in the consolidated statement of earnings in the same period as the related hedged item affected earnings. Hedge ineffectiveness was generally recognized in the consolidated statement of earnings over the life of the hedging relationship.

(g) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(h) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Construction in process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2.5% to 6%
Machinery and equipment	10% to 33%

(i) Financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and the amount amortized included in interest expense for the year.

(j) Goodwill and other intangibles

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the identifiable tangible and intangible assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands, customer relationships and delivery routes. Definite life intangibles are amortized over their estimated useful life. Goodwill is not amortized and is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of the reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. Indefinite life intangibles are tested for impairment annually in the fourth quarter and as required if events occur that indicate that it is more likely than not that the carrying value has been impaired. The impairment tests for goodwill and indefinite life intangibles were performed in 2007 and no impairment was identified.

(k) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(l) Employee benefit plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(m) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(n) Accounting changes

Effective January 1, 2007, the Company adopted 3 new financial instrument accounting standards that were issued by the CICA: Handbook Section 1530 "Comprehensive Income", Handbook Section 3855 "Financial Instruments – Recognition and Measurement", and Handbook Section 3865 "Hedges". Comparative amounts for prior periods have not been restated except for the currency translation account, which was reclassified to accumulated other comprehensive income (loss).

The following table summarizes the adjustments required to adopt the new standards on January 1, 2007:

Increase in other current assets	$	3,369
Increase in future tax asset – long-term		85
Increase in other long-term liabilities		(3,616)
Accumulated other comprehensive loss – cash flow hedges		162

The overall impact to net earnings from the adoption of the new standards for the year was not material.

(o) Recent accounting pronouncements

In 2008, the CICA issued Handbook Section 3064 ("CICA 3064"), "Goodwill and Intangible Assets". CICA 3064, which replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. This new standard is effective for the Company's interim and annual consolidated financial statements commencing January 1, 2009. The Company is currently assessing the impact the new standard will have on its financial statements.

In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and converges with international accounting standards. The standard is effective for interim and annual periods relating to fiscal years beginning on or after January 1, 2008. The Company does not expect that the adoption of this standard will have a material impact on its financial statements.

In December 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards increase the emphasis on the risks associated with both recognized and unrecognized financial instruments and how those risks are managed. The new presentation standards carry forward the former presentation requirements and are effective for fiscal years beginning on or after October 1, 2007. The Company is currently assessing the impact the new standard will have on its financial statements.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The standard is effective for interim and annual financial statements relating to fiscal years beginning on or after October 1, 2007. The Company does not expect that the adoption of this standard will have a material impact on its financial statements.

(p) Comparative figures

Certain 2006 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2007.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2007, trade accounts receivable being serviced under this program amounted to $70.0 million (2006: $70.0 million).

4. INVENTORIES

	2007	2006
Material held for production	**$ 33,058**	$ 27,579
Finished products	**13,978**	18,502
	$ 47,036	$ 46,081

5. PROPERTY AND EQUIPMENT

	2007	2006
Land	**$ 25,295**	$ 24,531
Buildings	**159,574**	152,173
Machinery and equipment	**489,993**	468,265
Construction in progress	**48,452**	30,273
	723,314	675,242
Less: Accumulated depreciation	**326,691**	300,595
	$ 396,623	$ 374,647

6. OTHER LONG-TERM ASSETS

	2007	2006
Cross-currency interest rate swap from Maple Leaf (Note 9)	$ -	$ 56,434
Pension asset (Note 17)	7,490	1,260
Other assets	465	421
	$ 7,955	$ 58,115

The cross-currency interest rate swap is recorded at fair value effective January 1, 2007. Prior to that date the financial impact of currency rate on the cross-currency interest rate swap agreement was recorded as a long-term asset and was included in accumulated other comprehensive income.

7. OTHER INTANGIBLES

	2007	2006
Customer relationships (Note 19)	$ 8,424	$ -
Other	4,446	5,321
	$ 12,870	$ 5,321

8. LONG-TERM DEBT

	2007	2006
Due to Maple Leaf (a)	$ 107,464	$ 86,623
Obligations under capital leases	185	212
	107,649	86,835
Less: Current portion	107,644	364
	$ 5	$ 86,471

(a) Canada Bread has a $250.0 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on December 27, 2008. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Net interest paid to Maple Leaf under these facilities was $1.8 million in 2007 (2006: $0.8 million).

(b) In 2006, the Company established an operating line of credit of £5.0 million ($9.8 million) to provide short-term funding for its U.K. operations. The facility has interest based on Libor rates. As of December 31, 2007, £5.0 million ($9.8 million); (2006: £4.0 million; $9.1 million) was outstanding.

(c) The Company has demand operating facilities of $20.0 million (2006: $21.9 million), which bear interest at short-term rates. At December 31, 2007, $8.4 million (2006: $11.4 million) was utilized under these facilities.

(d) The Company has a demand letter of credit facility of $10.0 million (2006: $10.0 million) of which $8.8 million as at December 31, 2007, (2006: $9.1 million) was utilized.

(e) The Company's weighted average cost of borrowing for 2007 was 4.8% (2006: 4.0%), after adjusting for payments made under swap contracts in place.

Required repayments of long-term debt are as follows:

2008	$ 107,644
2009	5
Thereafter	-
	$ 107,649

9. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company uses various financial instruments in its operations, including certain components of working capital such as cash and cash equivalents, accounts receivable and accounts payable. Additionally, the Company uses short-term and long-term debt to fund operating requirements and derivative financial instruments including interest rate and cross-currency interest rate swap agreements, foreign currency forwards, and commodity futures and options to manage its interest rate, foreign exchange and commodity price risk.

Credit risk

The Company's financial assets that are exposed to credit risk consist primarily of cash and cash equivalents, accounts receivable and non-exchange-traded derivatives with positive fair values.

Cash and cash equivalents, are comprised primarily of investments, in deposits with Canadian chartered banks who have investment grade credit ratings. In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and regularly reviews the collectibility of its trade and other accounts receivables in order to mitigate any possible credit losses.

Maple Leaf is the counterparty to all of the Company's non-exchange-traded derivatives contracts.

Interest rate risk

The Company manages its exposure to changes in interest rates by using a mix of fixed and variable rate debt and utilizing interest rate swaps as necessary to achieve the desired proportion of variable to fixed-rate debt.

The Company uses interest swaps to mitigate the risk from variable cash flows by effectively converting certain variable rate borrowings to fixed-rate borrowings. The notional amounts of these swaps, which are designated and accounted for as cash flow hedges, totalled $70.0 million at December 31, 2007 (2006: $70.0 million) with maturity dates ranging from June 2011 to June 2014. The fixed rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three month bankers' acceptance rates. These swaps had a negative fair value of $2.6 million at December 31, 2007 (2006: negative fair value of $3.6 million) of which $0.2 million was recorded in other current liabilities and $2.4 million in other non-current liabilities at December 31, 2007.

Foreign exchange risk

The Company uses forward foreign exchange contracts and cross-currency interest rate swaps to manage its exposure to changes in foreign exchange rates arising from transactions and balances in currencies other than Canadian dollar.

The Company uses foreign currency forwards from time to time to hedge a portion of its anticipated foreign currency-denominated transactions. Qualifying foreign currency forward contracts are designated and accounted for as cash flow hedges. As of December 31, 2007, none of the Company's anticipated foreign currency-denominated sales were hedged.

The Company has designated a cross-currency interest rate swap with a notional amount of US$140.0 million as a net investment hedge of the Company's net investment in U.S. operations. The effective portion of the change in fair value of the swap is recorded in shareholders' equity in the foreign currency translation component of Accumulated Other Comprehensive Income and offsets translation adjustments on the underlying net assets of U.S. operations, which also are recorded in accumulated other comprehensive income. The swap matures in January 2008. At December 31, 2007, the fair value of the cross-currency interest rate swap was $80.6 million (2006: $59.8 million) and was recorded in other current assets. The gain on the net investment hedge recorded in Other Comprehensive Income for the period was $24.2 million before taxes in 2007 (2006: $nil).

Commodity price risk

The Company is exposed to price risk related to forecasted purchases of wheat and other agricultural commodities used as raw materials. The Company uses long-term contracts with suppliers as well as exchange-traded futures and options to manage its exposure to price fluctuations.

The Company has elected to apply the normal purchase and sales classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The amount of hedge ineffectiveness on all hedges recognized in earnings for the year ended December 31, 2007, was not material.

Fair value of financial instruments

The carrying value of cash and cash equivalents, accounts receivable and accounts payable approximates their fair values due to the immediate or short-term maturity of these financial instruments. The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

Effective January 1, 2007, all derivatives are recorded on the consolidated balance sheet at fair value. Prior to 2007, only derivatives that did not qualify for hedge accounting were carried at fair value. The fair values of the Company's derivative financial instruments used to manage exposure to interest rate and foreign exchange risks were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The carrying value and fair value of the Company's financial instruments designated as hedges of interest rate and foreign currency exposures as at December 31, 2007 are as follows:

	Other current assets	Current liabilities	Other long-term liabilities
Cross-currency interest rate swap to hedge the net investment in self-sustaining foreign operations	**$ 80,586**	**$ -**	**$ -**
Interest rate swaps to hedge interest rate exposure	**-**	**217**	**2,381**
	$ 80,586	**$ 217**	**$ 2,381**

10. OTHER LONG-TERM LIABILITIES

	2007	2006
Post-retirement benefit liability (Note 17)	**$ 3,065**	$ 2,864
Pension liability (Note 17)	**4,175**	170
Other	**5,177**	2,753
	$ 12,417	$ 5,787

11. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2007	2006
Share capital (25,416,812 common shares; (2006: 25,416,812 common shares))	**$ 142,965**	$ 142,965
Retained earnings	**528,327**	450,733
Accumulated other comprehensive loss (Note 12)	**(36,249)**	(5,254)
	$ 635,043	$ 588,444

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2007 there were no issued and outstanding preference shares.

12. ACCUMULATED OTHER COMPREHENSIVE LOSS

Accumulated Other Comprehensive Loss consists of the following:

	2007	2006
Balance at the beginning of the period	**$ (5,254)**	$ (14,882)
Transition adjustment as of January 1, 2007 (Note 2(n))	**(162)**	-
Adjusted balance at the beginning of the period	**$ (5,416)**	$ (14,882)
Change in accumulated foreign currency translation adjustment[(i)]	**(29,290)**	9,628
Change in unrealized derivative loss on cash flow hedges – net[(ii)]	**(1,543)**	-
Other comprehensive income (loss) for the period	**$ (30,833)**	$ 9,628
Accumulated other comprehensive loss as at December 31	**$ (36,249)**	$ (5,254)

(i) Change in accumulated foreign currency translation adjustment is net of taxes of $nil for the 12 months ended December 31, 2007 (2006: $nil).
(ii) Change in unrealized derivative loss on cash flow hedges is net of tax of $1.0 million for the 12 months ended December 31, 2007 (2006: $nil).

The Company estimates that $0.1 million of net derivative losses included in Accumulated Other Comprehensive Loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year, a loss of approximately $2.8 million (net of tax of $1.5 million) was released to income from Accumulated Other Comprehensive Loss, which is included in the net change for the period.

13. RESTRUCTURING AND OTHER RELATED COSTS

In 2007 the Company recorded restructuring and other related costs of $4.6 million ($3.2 million after-tax) relating primarily to the closure of a fresh bakery plant in British Columbia and the announcement of the closure of a bagel facility in Toronto, Ontario. Also included were lease termination costs related to the winding down of the fresh waffle business in Ontario. In 2006, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after-tax). The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in 2007 and 2006 as well as the related liability:

	Severance	Site closing	Accelerated depreciation	Retention	Total
2006 Restructuring and other related costs					
Charges during fourth quarter	$ 2,525	$ 1,428	$ 1,531	$ -	$ 5,484
Cash payments	-	(67)	-	-	(67)
Non-cash items	-	-	(1,531)	-	(1,531)
Balance at December 31, 2006	$ 2,525	$ 1,361	$ -	$ -	$ 3,886
Charges during the year	939	1,127	2,490	63	4,619
Cash payments	(642)	(1,679)	-	(8)	(2,329)
Non-cash items	-	-	(2,490)	-	(2,490)
Balance at December 31, 2007	**$ 2,822**	**$ 809**	**$ -**	**$ 55**	**$ 3,686**

14. OTHER INCOME

	2007	2006
Gain on sale of property and equipment	**$ 515**	$ 330
Other	**66**	102
	$ 581	$ 432

15. INTEREST EXPENSE

	2007	2006
Interest expense on securitized receivables (Note 3)	$ 3,494	$ 3,170
Interest expense on long-term debt (Note 8)	1,831	803
Other interest expense (income)	293	(317)
	$ 5,618	$ 3,656

16. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2007	2006
Income tax expense according to combined statutory rate of 33.4% (2006: 33.6%)	$ 39,993	$ 35,153
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	(949)	(735)
Rate difference in foreign jurisdictions	(3,942)	(4,510)
Non-taxable gains	(73)	(69)
Valuation allowance – U.S. tax losses	5,704	21,434
Future tax rate changes	(2,762)	(1,348)
Other	(1,924)	1,227
	$ 36,047	$ 51,152

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2007	2006
Future tax assets:		
Accrued assets	$ 1,170	$ 2,524
Investment in subsidiary	13,028	9,901
Losses carry forward	27,138	21,434
Valuation allowance	(27,138)	(21,434)
Other	3,597	3,150
	$ 17,795	$ 15,575
Future tax liabilities:		
Plant and equipment – differences in net book value and undepreciated capital cost	$ 27,357	$ 27,318
Derivative financial instrument	13,028	9,901
Other	4,995	1,691
	$ 45,380	$ 38,910
Classified in the consolidated financial statements as:		
Future tax asset – current	$ 5,937	$ 5,873
Future tax asset – non-current	-	403
Future tax liability – non-current	(33,522)	(29,611)
Net future tax liability	$ (27,585)	$ (23,335)

In accordance with CICA Handbook Section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. frozen bakery business, there continues to be sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, during the year the Company recorded an additional valuation allowance of US$5.4 million ($5.7 million) against current year U.S. tax losses and a valuation allowance has been recorded for all the accumulated tax losses in the U.S.

17. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows:

	2007	2006
Accrued benefit obligation:		
Balance, beginning of year	**$ 131,133**	$ 124,099
Current service cost	**4,003**	3,931
Interest cost	**6,669**	6,242
Benefits paid	**(8,055)**	(8,372)
Actuarial (gains) losses	**(9,160)**	4,246
Employee contributions	**973**	987
Plan amendments	**2,530**	-
Balance, end of year	**$ 128,093**	$ 131,133
Plan assets:		
Fair value, beginning of year	**$ 109,449**	$ 101,032
Actual return on plan assets	**(641)**	11,966
Employer contributions	**4,892**	3,836
Employee contributions	**973**	987
Benefits paid	**(8,055)**	(8,372)
Fair value, end of year	**$ 106,618**	$ 109,449
Funded status – plan surplus (deficit)	**$ (21,475)**	$ (21,684)
Unamortized transitional amount	**(5,890)**	(6,669)
Unamortized actuarial losses	**26,995**	28,419
Unamortized prior service costs	**3,255**	931
Net accrued benefit asset, end of year	**$ 2,885**	$ 997

Amounts recognized in the consolidated balance sheet consist of:

	2007	2006
Other long-term assets	**$ 7,490**	$ 1,260
Accounts payable and accrued charges	**430**	93
Other long-term liabilities	**4,175**	170

The pension assets are invested in the following asset categories at December 31:

	2007	2006
Equity securities	**62%**	61%
Debt securities	**38%**	39%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2007	2006
Discount rate used to calculate net benefit plan expense	**5.00%**	5.00%
Discount rates used to calculate year end accrued benefit obligation	**5.25%**	5.00%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**3.50%**	3.50%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2007	2006
Current service cost – defined contribution plans	**$ 7,412**	$ 7,237
Current service cost – defined benefit plans	**4,003**	3,931
Interest cost	**6,669**	6,242
Actual return on plan assets	**641**	(11,966)
Difference between actual and expected return on assets	**(8,731)**	4,521
Actuarial (gains) losses recognized	**(9,160)**	4,246
Difference between actual and recognized actuarial (gains) losses in the year	**10,155**	(3,091)
Amortization of transitional amount	**(778)**	(778)
Difference between prior service costs and actual plan amendments in the year	**(2,324)**	96
Plan amendments	**2,530**	-
Net benefit plan expense	**$ 10,417**	$ 10,438

Measurement dates for defined benefit plan obligations and expense:

2007 Expense	December 31, 2006
Balance Sheet	December 31, 2007

In addition, the Company has accrued and included in other long-term liabilities $3.1 million (2006: $2.9 million) in respect of post-retirement benefit obligations.

A 1% change in health care cost trend would not have significant impact on the year end obligation or the 2007 current service cost and interest costs.

18. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, provision of stock awards program, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $15.8 million (2006: $8.3 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $8.0 million (2006: $6.9 million).

The Company received certain engineering services from Maple Leaf for a cost of $0.8 million (2006: $0.8 million).

As part of a series of transactions to acquire Royal Touch Foods Inc. ("Royal Touch"), the Company purchased 50% of Royal Touch shares from Maple Leaf for $4.4 million (Note 19). For accounting purposes, this is considered a related party monetary transaction without a substantive change in ownership as Maple Leaf indirectly retains an 88.0% interest in Royal Touch. Accordingly, the Company has recorded the investment in Royal Touch at the carrying amount recorded by Maple Leaf. The difference between the carrying amount and the purchase price amount is equal to $3.4 million and is recorded as a reduction of retained earnings.

19. ACQUISITIONS

(a) On August 17, 2007 the Company acquired La Fornaia Ltd. ("La Fornaia") a leading producer of a range of specialty Italian breads such as traditional ciabatta, organic breads and crisp breads for total consideration of £18.9 million ($40.3 million). The Company has allocated £3.7 million ($7.9 million) of the purchase price to the identifiable net assets of La Fornaia at the acquisition date, and £15.2 million ($32.4 million) to goodwill. The Company has not yet finalized the purchase price allocation for this acquisition.

(b) On February 26, 2007 the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $8.2 million. Chevalier is a leading producer of single-portion snack cake products in Quebec. The Company has allocated $6.4 million of the purchase price to the identifiable net assets of Chevalier at the acquisition date, and $1.8 million to goodwill. As at December 31, 2007 the Company had not yet finalized the purchase price allocation for this acquisition.

(c) On November 27, 2006, the Company purchased The French Croissant Company Ltd. ("FCC") and Avance U.K. Limited ("Avance"), two related bakeries in the U.K. for total consideration of £29.2 million ($64.0 million). FCC produces and markets croissants and specialty goods across the U.K., and Avance is a leading supplier of fresh, frozen and long-life specialty bakery items. The Company has completed the purchase equation and has allocated $7.5 million to the identifiable net tangible assets of FCC and Avance and $56.5 million to goodwill and intangibles. The acquired intangible assets include $8.8 million allocated to customer relationships that are being amortized on a straight-line basis over their useful lives to a maximum of 25 years.

(d) On October 2, 2006, the Company acquired the shares of Royal Touch, a pre-packaged sandwich supplier based in Toronto, Ontario, for $8.1 million, net of estimated cash acquired of $0.8 million. The Company purchased 50% of the Royal Touch shares from Maple Leaf and acquired the remaining shares from an unrelated third party for the same price. During 2007, the purchase price was finalized. The difference between these final adjustments and the carrying amount of the investment held by Maple Leaf of $0.1 million is recorded as a reduction in retained earnings in 2007.

(e) On March 24, 2006 the Company acquired the assets and operations of Harvestime Limited ("Harvestime"), a bakery in Walsall, England for £1.0 million ($2.0 million). Harvestime is a producer of par-baked breads, rolls and specialty bakery products. As at December 31, 2006, the Company had finalized the purchase price allocation, and goodwill of $0.7 million resulting from the transaction has been included in the total assets of the Frozen Bakery segment.

Details of net assets acquired and purchase adjustments for 2007 and 2006 are as follows:

	La Fornaia	Chevalier	Adjustments to 2006 Acquisitions	Total 2007	Total 2006
Cash acquired	$ (25)	$ (15)	$ -	$ (40)	$ 812
Non-cash working capital	2,349	780	(965)	2,164	36
Property and equipment	5,953	5,827	(1,696)	10,084	16,035
Other non-current assets	-	148	9,249	9,397	-
Non-current future tax liability	104	(85)	(2,359)	(2,340)	(44)
Other non-current liabilities	(469)	(221)	-	(690)	-
Goodwill	32,419	1,787	(4,013)	30,193	54,448
Retained earnings (Note 18)	-	-	57	57	3,366
Total purchase price	**$ 40,331**	**$ 8,221**	**$ 273**	**$ 48,825**	**$ 74,653**

20. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $10.5 million (2006: $11.9 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2008	$	13,749
2009		10,916
2010		7,170
2011		5,678
2012		5,097
Thereafter		8,517
	$	51,127

21. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

		2007		2006
Numerator:				
Earnings available to common shareholders – basic and diluted	**$**	**83,751**	$	53,550
Denominator:				
Weighted average common shares outstanding – basic and diluted (in thousands)		**25,417**		25,417

		2007		2006
Earnings per share:				
Basic	**$**	**3.30**	$	2.11
Diluted		**3.30**		2.11

22. SUBSEQUENT EVENTS

On January 29, 2008 the Company acquired the shares of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $42.4 million plus contingent consideration of up to $23.0 million based on financial performance over the next three years.

On January 2, 2008, Maple Leaf paid $80.6 million to the Company to settle its obligations under the cross-currency interest rate swap at maturity.

23. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	2007	2006
Sales to customers		
Fresh bakery	**$ 945,853**	$ 898,797
Frozen bakery	**567,326**	436,135
	$ 1,513,179	$ 1,334,932
Earnings from operations before restructuring and other related costs		
Fresh bakery	**$ 88,402**	$ 93,928
Frozen bakery	**41,052**	19,482
	$ 129,454	$ 113,410
Capital expenditures		
Fresh bakery	**$ 40,393**	$ 36,109
Frozen bakery	**45,336**	11,889
	$ 85,729	$ 47,998
Depreciation and amortization		
Fresh bakery	**$ 25,683**	$ 23,286
Frozen bakery	**23,929**	21,724
	$ 49,612	$ 45,010
Total assets		
Fresh bakery	**$ 400,518**	$ 378,311
Frozen bakery	**573,772**	529,360
Non-allocated assets	**23,892**	16,597
	$ 998,182	$ 924,268
Goodwill		
Fresh bakery	**$ 131,256**	$ 128,251
Frozen bakery	**239,810**	244,729
	$ 371,066	$ 372,980